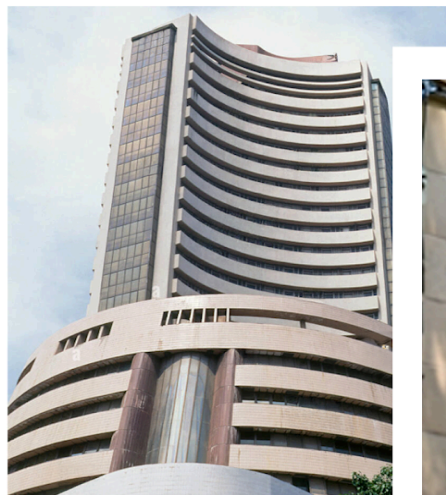


General Knowledge

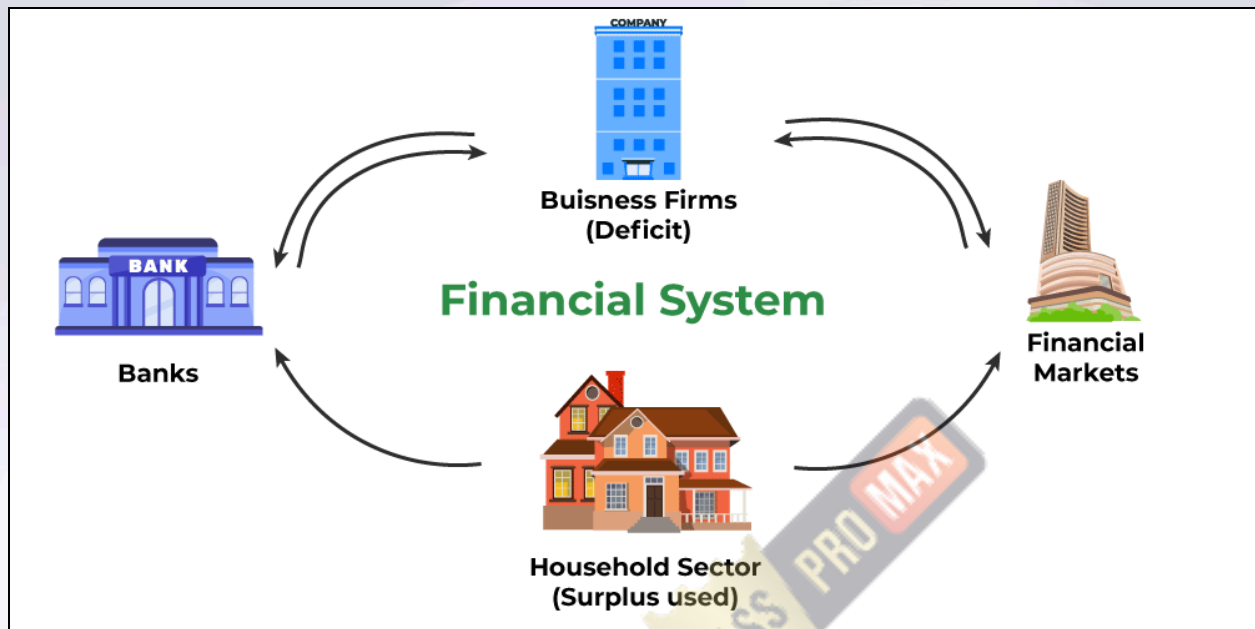
Indian Economy

STUDY NOTES

Financial Markets



Financial Markets



A **financial market** is a marketplace where buyers and sellers trade financial assets such as stocks, bonds, commodities, and currencies. These markets facilitate the exchange of capital and risk, enabling participants to allocate resources efficiently across various sectors of the economy.

Importance of Financial Markets in the Economy:

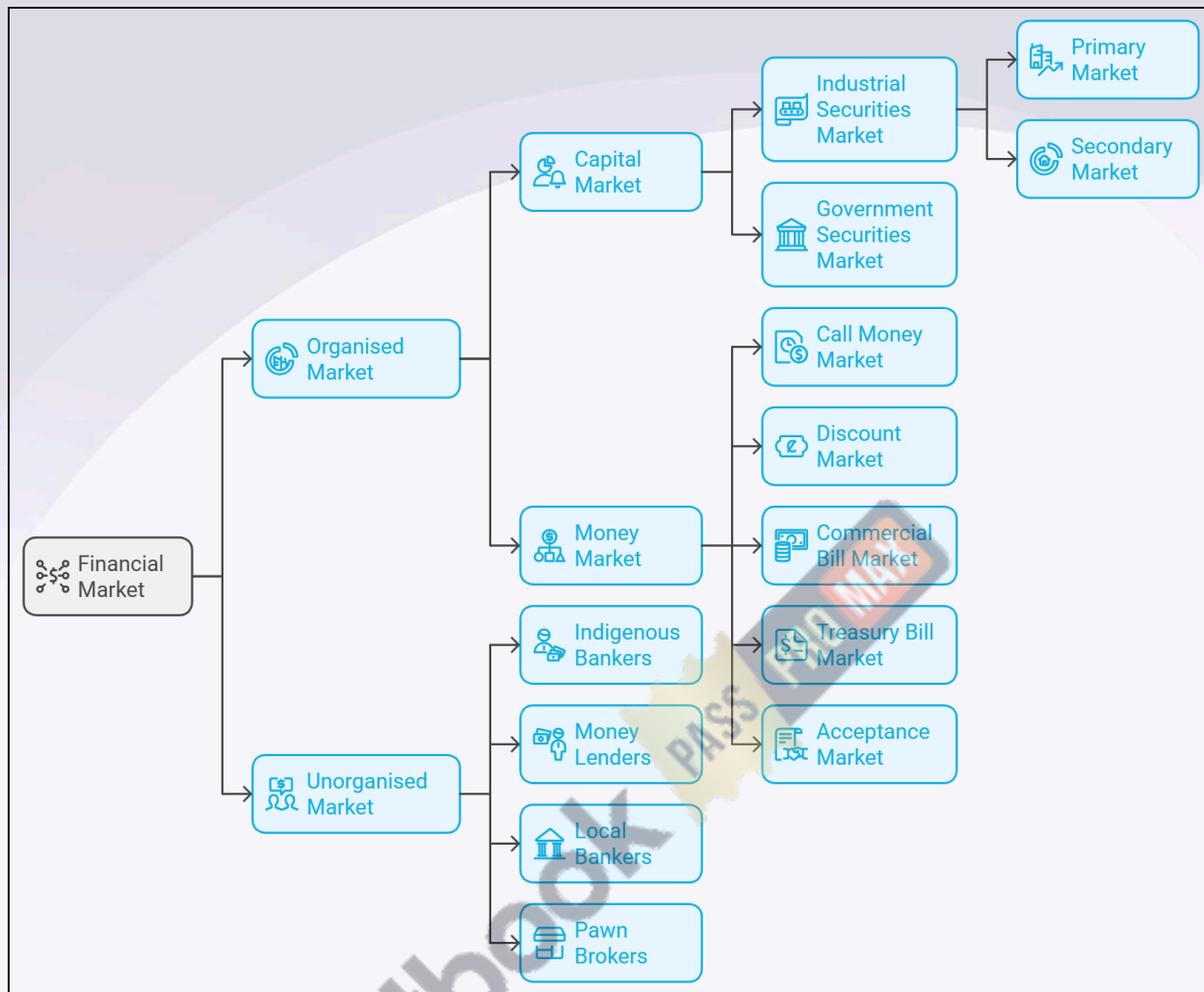
- Financial markets facilitate the optimal allocation of resources by channelling savings from individuals and institutions to productive investments.
- They help businesses raise capital through equity and debt instruments, fostering economic growth and development.
- Financial markets provide liquidity by allowing the easy buying and selling of securities, ensuring flexibility for investors.
- They act as a barometer of the economy, influencing and reflecting economic policies and trends.
- Financial markets offer instruments like derivatives to hedge against risks, promoting stability in financial and business operations.



Types of Financial Markets

The financial market is divided into:

- **Organised Market:** Formal, regulated markets where transactions occur under established rules and frameworks.
- **Unorganised Market:** Informal and unregulated markets that operate outside governmental or institutional oversight, often playing a role in rural and informal sectors.



Organised Market

This market is divided into two major categories:

Capital Market

- Capital markets enable the raising of long-term funds by businesses, governments, and other entities. They are essential for economic growth and provide a means for investors to buy and sell securities.
- **Instruments:**
 - **Stocks (Equity):** These are shares of ownership in a company. When you buy stock, you become a part-owner of the company, and your returns come from dividends (profit sharing) or the appreciation of stock prices.

- **Bonds (Debt):** Bonds are debt securities issued by corporations, municipalities, or governments. When you buy a bond, you are lending money to the issuer in exchange for periodic interest payments and the return of the principal amount at the maturity date.
- In the **Capital Market**, two important segments are the **Industrial Securities Market** and the **Government Securities Market**.

Aspect	Industrial Securities Market	Government Securities Market
Definition	Market for the issuance and trading of stocks and bonds by industrial companies.	Market for the issuance and trading of debt securities issued by the government.
Purpose	Companies raise capital for expansion, operations, or projects.	The government raises funds for public spending, infrastructure, or managing fiscal deficits.
Types of Securities	- Equity Shares (stocks) - Debentures (bonds)	- Treasury Bills (T-Bills) - Government Bonds - Savings Bonds
Risk Level	Higher risk due to market fluctuations and company performance.	Lower risk as they are backed by the government.
Investor Return	Returns in the form of dividends (stocks) or interest (bonds).	Returns through interest payments on bonds or T-Bills.
Maturity Period	Varies from short to long term (depends on the type of security).	T-Bills (short-term), Bonds (long-term).
Examples	IPOs by companies like Reliance, Tata Motors, and Infosys.	Government-issued 5-year bonds, T-Bills for fiscal management.
Market Participants	Companies (issuers) and investors (individuals, institutions).	Government (issuer) and investors (individuals, institutions, foreign investors).
Market Risk	Higher due to market volatility and company performance.	Lower, as these are government-backed securities.

Primary Market VS Secondary Market

Aspect	Primary Market	Secondary Market
Definition	The market for new securities issued for the first time.	The market where previously issued securities are traded.
Purpose	Companies or governments raise funds by issuing new securities.	Investors buy and sell existing securities among themselves.
Securities	New stocks or bonds are issued.	Existing stocks or bonds are traded.
Participants	Issuers (companies/governments) and investors.	Investors buy and sell securities.
Example	Initial Public Offering (IPO), Government bond issuance.	Stock exchanges like NYSE, and NSE (for shares, bonds, etc.).
Role	Provides a platform for the creation of new capital.	Provides liquidity and price discovery for previously issued securities.
Transaction Type	Sale of new securities.	Sale and purchase of previously issued securities.
Pricing Mechanism	The price is set by the issuer.	Price is determined by market forces (supply and demand).

Money Market

- Money markets deal with short-term borrowing and lending, usually for periods of one year or less. They offer high liquidity, which means that investors can easily buy and sell instruments with minimal risk.
- **Instruments:**
 - **Treasury Bills (T-Bills):** Short-term debt issued by the government to finance its short-term needs.
 - **Commercial Paper:** Short-term unsecured promissory notes issued by corporations to raise funds for operational needs.
 - **Certificates of Deposit (CDs):** Time deposits offered by banks that pay interest

and are repayable after a specified period.

- Typically, instruments in the money market mature in less than a year, and in some cases, even within days or weeks.

Sub Types of Money Market

Money Market Segment	Definition	Purpose	Example
Call Money Market	Short-term loans are borrowed and lent overnight.	To meet banks' short-term liquidity requirements.	Overnight lending between banks.
Discount Market	Short-term securities are traded at a discount.	To trade discount securities like T-Bills and commercial papers.	Treasury Bills, Commercial Papers.
Acceptance Market	Trading of commercial bills and promissory notes.	To discount bills of exchange and short-term debt instruments.	Bills of Exchange, Promissory Notes.
Commercial Bill Market	The market for commercial bills issued by companies.	To meet the short-term financing needs of companies.	90-day Commercial Bills issued by corporations.
Treasury Bill Market	The market for government-issued Treasury Bills (T-Bills).	To raise short-term capital for the government.	91-day T-Bills, 182-day T-Bills.

Key Participants in the Organised Market:

- **Investors:** Long-term participants who purchase securities with the expectation of generating returns over an extended period. They typically focus on capital appreciation, dividends, or interest income.
- **Traders:** Short-term participants who buy and sell financial instruments frequently, often within a day, seeking to profit from price movements in the market. Traders can engage in day trading, swing trading, or algorithmic trading.

- **Brokers:** Intermediaries who facilitate the buying and selling of securities between investors/traders and the financial market. Brokers may offer advisory services or act purely as agents for trade execution.
- **Institutions:**
 - **Banks:** Financial entities that accept deposits, make loans and provide various financial services. Investment banks help companies raise capital, while retail banks serve individuals and businesses with savings and loans.
 - **Hedge Funds:** Investment funds that use advanced strategies, such as leverage, derivatives, and short-selling, to generate high returns for their investors.
 - **Pension Funds:** Investment funds that manage retirement savings, typically investing in long-term securities like bonds and equities to ensure future payouts to retirees.

Unorganised Market

The unorganised market operates informally and serves the financial needs of individuals and small businesses, especially in rural and semi-urban areas. Components include:

- **Indigenous Bankers:**
 - Local private money lenders operate without regulatory oversight. They cater to rural and underbanked areas.
- **Money Lenders:**
 - Individuals providing unsecured loans at high interest are often relied upon by those excluded from formal banking systems.
- **Local Bankers:**
 - Small, informal banking institutions that provide localized financial services.
- **Pawn Brokers:**
 - Offer loans secured by personal items like jewellery or valuables, making them easily accessible but often expensive in terms of interest rates.

Key Participants in the Unorganised Market:

- **Indigenous Bankers:** Often referred to as traditional money lenders, they are individuals or small groups who provide loans to people in rural and semi-urban areas. They usually operate based on personal relationships and informal agreements.

- **Money Lenders:** These are individuals or groups who lend money at high interest rates, typically without any formal collateral or contracts. They often operate on a small scale and provide quick loans to those who may not qualify for bank loans.
- **Local Bankers:** Similar to indigenous bankers, local bankers are informal lenders who often work in specific communities or regions. They may offer loans for personal, business, or agricultural purposes but do not follow formal banking practices.
- **Pawn Brokers:** These individuals provide loans in exchange for collateral, often in the form of valuable items like jewellery. If the borrower is unable to repay, the collateral is forfeited.

"The unorganised market encompasses various financial transactions, including the **money market**.

Foreign Exchange Markets (Forex)

- The forex market is the largest and most liquid financial market in the world. It deals with the exchange of currencies between countries, allowing businesses to trade internationally and individuals or investors to speculate on currency movements.
- **Instruments:**
 - **Currencies:** The most commonly traded currencies include the US Dollar (USD), Euro (EUR), Japanese Yen (JPY), British Pound (GBP), and others.
- The forex market operates 24 hours a day, five days a week, and is decentralized, meaning trades occur directly between parties or through electronic platforms, rather than on a centralized exchange.

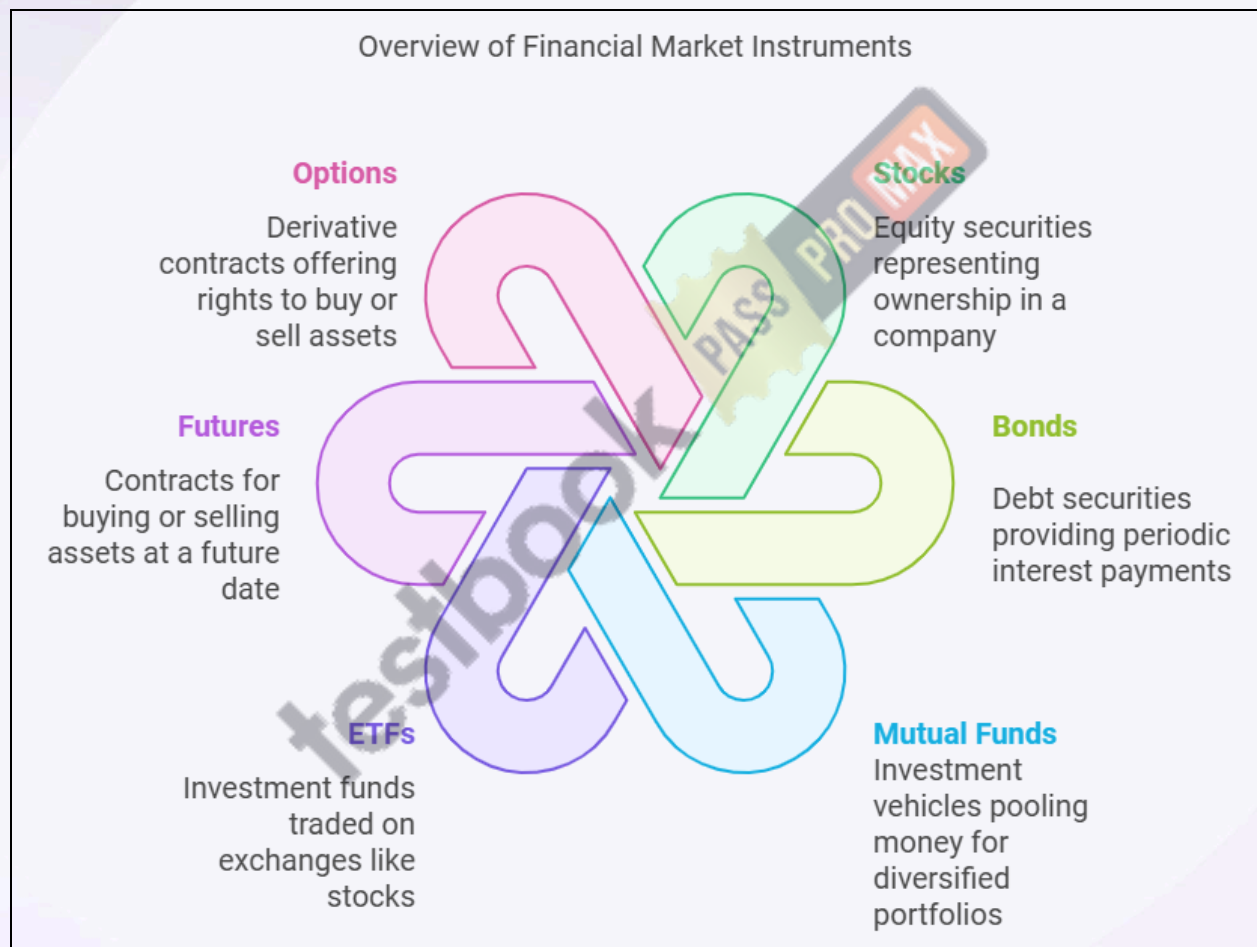
Commodity Markets

- Commodity markets involve the buying and selling of raw materials and primary goods. These markets are crucial for determining the global prices of essential products and for hedging against price fluctuations.
- **Instruments:**
 - **Spot Market:** In this market, commodities are bought and sold for immediate delivery and payment. The price is determined by supply and demand in the market.
 - **Futures Market:** This is a market where contracts are made to buy or sell a

commodity at a future date at a predetermined price. Futures markets allow traders to hedge against price volatility or speculate on future price movements.

- **Types of Commodities:** Commodities can be broadly classified into:
 - **Hard Commodities:** These include natural resources like oil, gold, and metals.
 - **Soft Commodities:** These include agricultural products like wheat, coffee, sugar, and cotton

Market Instruments



- **Stocks:** Equity securities that represent ownership in a company. Stockholders are entitled to dividends and have voting rights in corporate decisions.
- **Bonds:** Debt securities issued by corporations or governments. Bondholders receive periodic interest payments and the principal amount at maturity.

- **Mutual Funds:** Investment vehicles that pool money from many investors to invest in a diversified portfolio of stocks, bonds, or other securities, typically managed by professional fund managers.
- **Exchange-Traded Funds (ETFs):** Similar to mutual funds, but they trade on exchanges like individual stocks. ETFs offer diversification and liquidity while having lower fees than mutual funds.
- **Futures:** Contracts obligating the buyer to purchase, or the seller to sell, an asset at a predetermined price and date. Futures are commonly used for commodities, but can also be applied to financial instruments.
- **Options:** Derivative contracts that give the holder the right, but not the obligation, to buy or sell an underlying asset at a specific price before a specified date. Options can be used for hedging or speculative purposes.

Regulations and Regulatory Bodies:

Regulatory Body	Description	Key Responsibilities
Securities and Exchange Commission (SEC)	A U.S. government agency responsible for regulating the securities industry and enforcing federal securities laws.	Protects investors, maintains fair markets, facilitates capital formation, and oversees securities registration, market participants, and corporate disclosures.
Reserve Bank of India (RBI)	India's central bank and regulatory body for the country's financial sector.	Regulates monetary policy, banking system, financial stability, financial markets, currency management, and payment systems.
Financial Stability and Development Council (FSDC)	Coordinates financial market regulation in India.	Focuses on financial stability and coordinating the regulation of various financial sectors in India.

Securities and Exchange Board of India (SEBI)	Regulates Indian securities markets to protect investors and promote market integrity.	Regulates stock exchanges, protects investor interests, and promotes transparency in the Indian securities market.
Banking Regulation Act (India)	Governs the operation of banks in India, managed by the RBI.	Regulates banking operations, ensures financial stability in the banking system, and protects depositors.

Importance of Financial Markets in Developing Economies:

- **Role of Financial Markets:** Financial markets in emerging economies facilitate access to capital for businesses, government entities, and individuals. They provide an essential link between savers and borrowers, promoting investments, economic growth, and development.
 - **Capital Access:** They allow businesses to raise funds for expansion and innovation, often through stock markets and debt issuance.
 - **Price Discovery:** Financial markets help in determining the value of assets (stocks, bonds, etc.), reflecting the economic conditions of a country.
 - **Risk Management:** These markets provide mechanisms (such as derivatives) to hedge risks, which is crucial for businesses operating in uncertain environments.
 - **Foreign Investment:** The development of a robust financial market attracts foreign investments, which can help strengthen the domestic economy.

Risks in Financial Markets:

- **Market Risk:** This refers to the risk of losses due to fluctuations in market prices. It is often associated with equity, bond, and commodities markets.
 - **Example:** A stock's price falls due to broader market downturns.
- **Credit Risk:** This involves the risk of a borrower defaulting on a loan or debt obligation.
 - **Example:** If a corporation defaults on its bond payments, bondholders face the risk of not receiving their promised returns.
- **Liquidity Risk:** This risk arises when an asset cannot be bought or sold quickly in the market without impacting its price.

- Example: In a crisis, investors might find it difficult to sell a particular asset at a fair price due to a lack of buyers.
- **Operational Risk:** Related to failures in internal processes, systems, or human error within financial institutions.
 - Example: A trading platform crashing or incorrect transaction processing.